

NVIDIA Corporation

Well Positioned To Outgrow Overall Datacenter Capex;
Reasoning Inference, AI Factories, Enterprise
Modernization Represent Large Growth Drivers

NVIDIA held its financial analyst event yesterday following the GTC keynote presentation (see our takeaways [here](#)) from Tuesday. The team highlighted its strong ecosystem, which includes silicon, system hardware, software, customer partnerships, and an extensive installed user/developer base, demonstrating how it is well-positioned to capture a higher percentage of the \$1 trillion in annual data center spending. Additionally, the team believes that spending from AI factories represents upside optionality, as it is currently not included in the data center infrastructure forecast. They expect AI factory projects to be valued in the hundreds of billions of dollars. The team asserts a strong competitive advantage over ASIC solutions due to its comprehensive system solutions, software stack, ecosystem, and ease of adoption. They believe that competitors are still trying to catch up to the last-generation Hopper GPU architecture, while NVIDIA is already ahead with its Blackwell architecture, which offers 40x better performance. The team emphasizes that it's not just about cost savings, where they claim the best total cost of ownership (TCO), but also about revenue generation, highlighting a performance advantage over custom ASIC solutions with the Blackwell architecture. NVIDIA remains focused on its software strategy, which helps open up new markets and is particularly important in the inference market. The team believes that demand for inference will surpass that for training, potentially accounting for 90% of the market in the long term. The reasoning model is 100 times more complex than the one-shot pre-trained AI model. The architectural change from Hopper to Blackwell was complex and introduced changes to the system and networking architecture which impacted the gross margins. However, the team expects to retain a similar architecture over the next 3-4 years, which should allow them to drive yield improvements and a better margin profile (mid-70%). We are encouraged by the market growth opportunities and, more importantly, NVIDIA's ability to leverage its silicon architecture across multiple end-markets and applications. This is supported by investments in software and ecosystem development, driving gross margin, operating margin, and earnings per share expansion. We reiterate our Overweight rating on NVDA.

- **Capturing a higher % of datacenter spending with upside optionality in AI factories.** The team believes that it can continue to capture a higher percentage of the \$1 trillion in annual data center spending by 2028 compared to historical levels, given the shift to accelerated computing, strong portfolio breadth (GPU/CPU/Networking), and a system-solution approach (higher dollar content versus chips only). In addition, the team believes spending from AI factories would represent upside optionality, as it is currently not contemplated in the data center infrastructure forecast.

Overweight

NVDA, NVDA US
Price (19 Mar 25):\$117.52
Price Target (Dec-25):\$170.00

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Quarterly Forecasts (FYE Jan)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.61	0.93	
Q2	0.68	1.04	
Q3	0.81	1.16	
Q4	0.89	1.30	
FY	2.99	4.42	

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	78	88	84	78	81
Growth	21	13	10	62	32
Momentum	20	4	7	9	7
Quality	1	2	1	10	4
Low Vol	66	62	56	50	71
ESGQ	6	2	21	14	4

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-12.5%	-15.6%	-10.1%	31.5%
Rel	-9.0%	-8.0%	-6.8%	21.9%

Company Data

Shares O/S (mn)	24,990
52-week range (\$)	153.13-75.61
Market cap (\$ mn)	2,936,825.00
Exchange rate	1.00
Free float (%)	96.1%
3M ADV (mn)	272.10
3M ADV (\$ mn)	34,571.5
Volatility (90 Day)	60
Index	S&P 500
BBG ANR (Buy Hold Sell)	70 6 0

Key Metrics (FYE Jan)

\$ in millions	FY25A	FY26E
Financial Estimates		
Revenue	130,497	198,059
Adj. EBIT	81,583	122,983
Adj. EBITDA	82,007	123,407
Adj. net income	74,266	108,198
Adj. EPS	2.99	4.42
BBG EPS	4.58	5.77
Cashflow from operations	63,654	90,116
FCFF	60,418	85,808
Margins and Growth		
Revenue Growth Y/Y (%)	114.2%	51.8%
EBIT margin	62.5%	62.1%
EBIT Growth Y/Y (%)	146.7%	50.7%
EBITDA margin	62.8%	62.3%
EBITDA Growth Y/Y (%)	144.8%	50.5%
Net margin	56.9%	54.6%
Adj. EPS growth	131.0%	47.6%
Ratios		
Adj. tax rate	13.4%	17.0%
Interest cover	-	-
Net debt/Equity	NM	NM
Net debt/EBITDA	NM	NM
ROE	121.4%	93.0%
Valuation		
FCFF yield	2.1%	3.0%
Dividend yield	0.0%	0.0%
EV/Revenue	24.9	16.1
EV/EBITDA	39.6	25.9
Adj. P/E	39.3	26.6

Summary Investment Thesis and Valuation

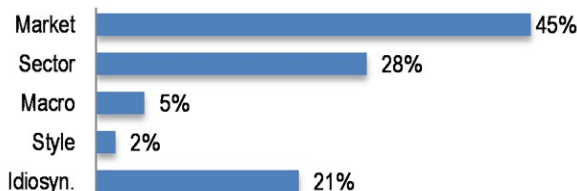
Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

Valuation

Our Dec-25 PT of \$170 assumes the stock trades at 30-35x \$5.20 of earnings power exiting CY25. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.72	0.70
Sect: Technology	0.81	0.73
Ind: Semicond & S Equip	0.94	0.94
Macro:		
US 10yr Breakeven	-0.08	-0.14
Crude Oil	0.01	-0.07
Credit Spread	0.14	0.07
Quant Styles:		
DivYld	-0.29	-0.28
Momentum	0.16	0.28
Size	0.18	0.26

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **AI inference is a strong growth driver and plays to the strengths of Nvidia's software stack.** Inference is complex and software-driven, which aligns well with Nvidia's diverse and extensive CUDA libraries and rich developer ecosystem. The team believes that demand for inference will surpass that for training, potentially accounting for 90% of the market in the long term. The reasoning model is 100 times more complex than the one-shot pre-trained AI model.
- **Strong competitive advantage vs ASIC solutions.** The team believes it has a strong competitive advantage over ASIC solutions due to its comprehensive system solution, software stack, ecosystem, and ease of adoption. Additionally, the team emphasizes that it's not just about cost savings but also about revenue generation, highlighting a performance advantage over custom ASIC solutions. Every company has a certain amount of power, and they need to leverage that power to maximize revenues. The team believes that competitors are still trying to catch up to the last-generation Hopper architecture, while NVIDIA is already ahead with its Blackwell architecture, which offers 40x better performance.
- **Does not expect material impact from tariffs.** As the largest customer for many of its suppliers, Nvidia is well-positioned to leverage its agile supply chain to minimize tariff impact. The team has been preparing to manufacture onshore at TSMC's fab in Arizona. In fact, they already have production silicon running at TSMC's Arizona fab. In the longer term, the team is working with its suppliers to ensure continued resilience and efficiency in their supply chain.
- **Gross margin set to improve.** The architectural change from Hopper to Blackwell was complex and introduced changes to the system and networking architecture. The team expects to retain a similar architecture over the next 3-4 years, which should allow them to drive yield improvements and margin expansion.

Investment Thesis, Valuation and Risks

NVIDIA Corporation (*Overweight; Price Target: \$170.00*)

Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

Valuation

Our Dec-25 PT of \$170 assumes that NVIDIA trades at a 30-35x multiple applied to ~\$5.20 of annualized earnings power exiting CY25E (\$1.30 *4). Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Risks to Rating and Price Target

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

NVIDIA Corporation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26E	2Q26E	3Q26E	4Q26E	
Revenue	60,922	130,497	198,059	-	-	Revenue	43,000	46,973	51,650	56,437	
COGS	(16,621)	(32,638)	(54,131)	-	-	COGS	(12,642)	(13,153)	(13,945)	(14,391)	
Gross profit	44,301	97,859	143,928	-	-	Gross profit	30,358	33,821	37,704	42,045	
SG&A	(2,558)	(3,362)	(4,137)	-	-	SG&A	(969)	(1,008)	(1,058)	(1,101)	
Adj. EBITDA	33,493	82,007	123,407	-	-	Adj. EBITDA	25,595	28,824	32,452	36,536	
D&A	(424)	(424)	(424)	-	-	D&A	(106)	(106)	(106)	(106)	
Adj. EBIT	33,069	81,583	122,983	-	-	Adj. EBIT	25,489	28,718	32,346	36,430	
Net Interest	-	-	-	-	-	Net Interest	-	-	-	-	
Adj. PBT	33,680	83,133	124,583	-	-	Adj. PBT	25,889	29,118	32,746	36,830	
Tax	(4,059)	(11,146)	(21,179)	-	-	Tax	(4,401)	(4,950)	(5,567)	(6,261)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	32,312	74,266	108,198	-	-	Adj. Net Income	22,686	25,366	28,378	31,768	
Reported EPS	1.19	2.94	4.20	-	-	Reported EPS	0.87	0.98	1.11	1.24	
Adj. EPS	1.30	2.99	4.42	-	-	Adj. EPS	0.93	1.04	1.16	1.30	
DPS	0.02	0.04	0.04	-	-	DPS	0.01	0.01	0.01	0.01	
Payout ratio	1.3%	1.4%	1.0%	-	-	Payout ratio	1.1%	1.0%	0.9%	0.8%	
Shares outstanding	24,933	24,805	24,489	-	-	Shares outstanding	24,489	24,489	24,489	24,489	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	25,984	43,210	96,798	-	-	Gross margin	72.7%	75.0%	72.7%	-	-
Accounts receivable	9,999	23,065	30,085	-	-	EBITDA margin	55.0%	62.8%	62.3%	-	-
Inventories	5,282	10,080	21,122	-	-	EBIT margin	54.3%	62.5%	62.1%	-	-
Other current assets	3,080	3,771	3,771	-	-	Net profit margin	53.0%	56.9%	54.6%	-	-
Current assets	44,345	80,126	151,775	-	-						
PP&E	3,914	6,283	10,167	-	-	ROE	99.3%	121.4%	93.0%	-	-
LT investments	-	-	-	-	-	ROA	60.4%	83.8%	72.4%	-	-
Other non current assets	17,469	25,192	25,192	-	-	ROCE	67.8%	100.6%	81.8%	-	-
Total assets	65,728	111,601	187,134	-	-	SG&A/Sales	4.2%	2.6%	2.1%	-	-
						Net debt/equity	NM	NM	NM	-	-
Short term borrowings	1,250	0	0	-	-						
Payables	2,699	6,310	7,737	-	-	P/E (x)	90.7	39.3	26.6	-	-
Other short term liabilities	6,682	11,737	11,737	-	-	P/BV (x)	68.2	36.7	18.8	-	-
Current liabilities	10,631	18,047	19,474	-	-	EV/EBITDA (x)	97.5	39.6	25.9	-	-
Long-term debt	8,459	8,463	8,463	-	-	Dividend Yield	0.0%	0.0%	0.0%	-	-
Other long term liabilities	3,660	5,764	5,764	-	-						
Total liabilities	22,750	32,274	33,701	-	-	Sales/Assets (x)	1.1	1.5	1.3	-	-
Shareholders' equity	42,978	79,327	153,433	-	-	Interest cover (x)	-	-	-	-	-
Minority interests	-	-	-	-	-	Operating leverage	369.1%	128.5%	98.0%	-	-
Total liabilities & equity	65,728	111,601	187,134	-	-						
BVPS	1.72	3.20	6.27	-	-	Revenue y/y Growth	125.9%	114.2%	51.8%	-	-
y/y Growth	95.6%	85.5%	95.9%	-	-	EBITDA y/y Growth	433.2%	144.8%	50.5%	-	-
Net debt/(cash)	(16,275)	(34,747)	(88,335)	-	-	Tax rate	12.1%	13.4%	17.0%	-	-
						Adj. Net Income y/y Growth	286.3%	129.8%	45.7%	-	-
Cash flow from operating activities	28,091	63,654	90,116	-	-	EPS y/y Growth	288.4%	131.0%	47.6%	-	-
o/w Depreciation & amortization	424	424	424	-	-	DPS y/y Growth	0.0%	150.0%	0.0%	-	-
o/w Changes in working capital	(5,057)	(11,877)	(19,489)	-	-						
Cash flow from investing activities	(10,566)	(20,421)	(4,308)	-	-						
o/w Capital expenditure	(1,068)	(3,236)	(4,308)	-	-						
as % of sales	1.8%	2.5%	2.2%	-	-						
Cash flow from financing activities	(13,634)	(42,361)	(32,220)	-	-						
o/w Dividends paid	(396)	(834)	(980)	-	-						
o/w Net debt issued/(repaid)	(1,279)	(1,250)	0	-	-						
Net change in cash	3,891	872	53,588	-	-						
Adj. Free cash flow to firm	27,023	60,418	85,808	-	-						
y/y Growth	609.5%	123.6%	42.0%	-	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
26-May-22	OW	16.98	28.5
08-Aug-22	OW	18.99	23
25-Aug-22	OW	17.22	22
23-Feb-23	OW	20.75	25
25-May-23	OW	30.54	50
24-Aug-23	OW	47.12	60
22-Nov-23	OW	49.94	65
22-Feb-24	OW	67.47	85
23-May-24	OW	94.95	115
29-Aug-24	OW	125.61	155
21-Nov-24	OW	145.89	170

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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